TWCB Oct Monthly Update

October 21, 2025

Agenda

		PIC
1	**Overall CB budget / FP&A update**	
	a. **CB OKR**	Nicholas
	b. **CB topline & P&L**	
	○ **SLS - September performance**	
	○ **SCS and Lovito - September performance**	
2	**Commercial Update**	
	a. **[For Update] CNCB:** Banned/Frozen/Deleted (BFD) shop impact on topline	Nic / Kaishen
	b. **[For Update] CNCB:** SCS Performance Deep Dive + Next Steps	Amanda
	c. **[For Update] JPCB:** Fraud sellers and mitigation plan	Nic / Amanda
	d. **[For Update] KR/JP CB:** New Seller Program (NSP)	Kaishen
3	**Key Initiatives / Projects Update**	
	a. **[For Discussion] KRCB:** Counter Coupang	Yuna
	b. **[For Update] Counter Taobao Program**	Allison / Kaishen
	c. **[For Update] XDD Program**	Amanda
4	**Other Initiatives**	Nicholas

Executive Summary

TWCB Overall Performance Update

- Overall Oct EOM OKR ADO%/ADG% on track, ADO/ADG under target due to platform under performance
  - Topline **MTD (Oct 15)** Overall ADO at **54.6K (RR 94%)**, ADO% at **4.0% (RR 96%)**, ADG at **1.48M (RR 97%),** ADG% at **4.3% (RR 97%)**
  - Topline **EoM projection** Overall ADO at **54.9K (RR 95%)**, ADO% at **4.1% (RR 100%)**, ADG at **1.50M (RR 98%)**, ADG% at **4.5% (RR 101%)**
- TWCB P&L Oct EOM projection **3.57M (RR 99%, MoM +9%)**

TW Key Focus (For Discussion)

- **BFD Impact:** Over the past year, CNCB fell by 7.8k ADO, of which 81% or 6.3k is attributed to banned/frozen/deleted shops. Deleted shops make up the bulk at 53% or 4.1k ADO, which cannot be recovered. The most impacted cluster is Fashion with a drop of 3.1k ADO, or a 13% YoY drop within the cluster. No actions proposed for now as any revival will have limited impact.
- **SCS Drop:** From Mar till date, SCS has fallen from 3.6k ADO to 1k ADO. The 2 key reasons are driven by a reduction of cheapest item count, along with organic traffic drop. The expected ADO for the Nov to Dec is expected to be ~1.1-1.2k, and 1.5k for 2026.
- **JP Order Brushing:** In late Sep to early Oct, we noticed around 3.7k orders with 1.5 mil GMV being placed, but we halted all escrow and there is no financial loss to Shopee. To mitigate any future occurrences, we have implemented 6 short-term to mid-term plans aimed at better identification of such orders, tighter seller onboarding checks, and stricter policy to ban these sellers.
- **Counter Coupang**
  - Our SOB grew from 0.42x in Aug to 0.47x in Sept, due to Coupang CB's decline after imposing fees for the WoW program
  - KR expects to reach an ADG RR of 87% by month end, but for SKU#, they have hit targets at 103% RR
  - For F&B channel, SLS PnL is expected to increase 13% but PPO to drop 40% due to additional cost from customs clearance
  - NPC improved overall from -70% to -65% MoM
- **XDD:** Enabled order coverage at 38%, SLA at 100%, actual WTD order coverage at 16.9%, recovering from the drop in end-Sept and early-Oct due to typhoon and CN/KR long holidays.

Topic 1: Overall CB budget/ FP&A update (till 10/15)

Nicholas

TWCB OKR | CB ADO% and ADG% under target because of LE's underperformance

Market	CB OKR	Sep-25	Oct-25 MTD (till 15-Oct)	Oct-25	MTD Actual
		Actual	Actual	Target	vs. Target%
TW	CB ADG as % of SHP	4.2%	4.3%	4.5%	97%
	CB ADO as % of SHP	3.9%	4.0%	4.1%	96%
	CB EBITDA as % CB GMV	6.6%	6.7%	6.6%	102%
	LS ADG as % CB	13.5%	12.3%	11.6%	106%
	Video ADG as % CB	0.5%	0.6%	0.5%	129%
	LS ADO as % CB	5.7%	5.6%	4.7%	119%
	Video ADO as % CB	0.6%	0.7%	0.5%	141%
	CB average BWT	6.67	7.56	7.45	99%
	CPO for CB	2.67	2.62	2.71	103%
	Same Day shipout %	68.5%	54.6%	58.7%	93%
	XDD + NDD coverage %	11.4%	15.0%	14.7%	102%
	Ship from Local ADO% of all CB and CN Managed CNLS Seller	N/A	N/A	N/A	N/A
	% net price competitiveness vs TTS	N/A	N/A	N/A	N/A
	% Bidding winning SKU ADO Coverage	N/A	N/A	N/A	N/A
	CB SCS + Lovito ADO% of CB ADO	2.7%	2.2%	2.4%	94%
	CB SCS Shop P&L	2,879	2,017*	4,729	43%
	Lovito Shop P&L	625	712*	-6,065	100%

** CB EBITDA as % CB GMV, CB SCS & Lovito Shop P&L Oct MTD as of 14 Oct.*

 # TWCB does not have target for the following metrics: CB ADG share in SEA+TW (TTS + LZD), Ship from Local ADO% of all CB and CN Managed CNLS Seller, % net price competitiveness vs TTS, % Bidding winning SKU ADO Coverage

Commentary

1. **CB ADG ADO % of SHP:** Under target due to LE underperforming at 69% MTD RR, largely due to Popmart's underperformance this month
2. **Same day shipout%:** Under target as sellers are taking longer times to ship out due to CN/KR public holiday. To recover closer to EOM.
3. **CB SCS + Lovito ADO% of CB ADO:** Below target due to reduced organic traffic for SCS.

Nicholas

TWCB Topline | Sep CB achieved 53.3k with MoM -5.3%; Oct'25 CB MTD 54.6k, EOM projection of 54.9K, RR projected to be 95%, ADO% RR projected to be 100%

Data as at 15-Oct		Sep-25	Oct-25				Nov-25
		Actual	MTD	Projection	Target	RR	Projection
ADO	CB	53,307	54,681	54,853	58,628	95%	62,671
	PLT	1,371,169	1,379,964	1,342,954	1,415,758	95%	1,555,680
	CB MoM	-5.3%	2.6%	2.9%			14.3%
	PLT MoM	2.4%	0.6%	-2.1%			15.8%
	CB YoY	-13.1%	-16.4%	-16.1%			-11.5%
	PLT YoY	7.2%	6.3%	3.4%			9.0%
ADO%	CB% (to PLT)	3.9%	4.0%	4.1%	4.1%	100%	4.0%
	CB% MoM (pp)	-0.3%	0.1%	0.2%			-0.1%
	CB% YoY (pp)	-0.9%	-1.1%	-1.0%			-0.9%
ADGMV	CB	1,405,443	1,486,227	1,496,113	1,529,252	98%	1,681,840
	PLT	33,622,268	34,192,537	33,071,178	34,142,166	97%	39,420,011
	CB MoM	-4.8%	5.7%	6.5%			12.4%
	PLT MoM	4.4%	1.7%	-1.6%			19.2%
	CB YoY	11.2%	6.2%	6.9%			4.2%
	PLT YoY	12.5%	13.1%	9.4%			14.4%
ADGMV%	CB% (to PLT)	4.2%	4.3%	4.5%	4.5%	101%	4.3%
	CB% MoM (pp)	-0.4%	0.2%	0.3%			-0.3%
	CB% YoY (pp)	-0.1%	-0.3%	-0.1%			-0.4%
ABS	CB	$26.4	$27.2	$27.3	$26.1	105%	$26.8
	PLT	$24.5	$24.8	$24.6	$24.1	102%	$25.3
	CB MoM	0.5%	3.1%	3.5%			-1.6%
	PLT MoM	2.0%	1.0%	0.4%			2.9%
	CB YoY	28.0%	27.0%	27.5%			17.8%
	PLT YoY	4.9%	6.5%	5.8%			4.9%

Key Highlights:

1. **Sep'25:** Actual ADO achieved **53.3K** (MoM -5.3%), with ADO% at **3.9%** (-0.3pp MoM). ADG% at 3.9% (-0.3pp MoM), ABS at $26.4 (+0.5% MoM) due to BFD shop impact.

2. **Oct'25**: MTD ADO at **54.6k** (MoM +2.6%) with ADO% at **4.0%** (+0.1pp MoM). MTD ADG% at 4.3% (+0.2pp MoM), ABS at $27.2 (+3.1% MoM)

3. **Proj. Oct:** Proj. ADO at **54.9k** (RR 95%) with ADO% at **4.1%** (RR 100%). Proj. ADG% at 4.5% (RR 101%), ABS at $27.2 (RR 105%)

Nicholas

[Backup] TWCB Oct MTD Performance | CNCB under target at 90% RR due to platform overall underperformance, coupled with SCS decline and Popmart missing targets

Oct'25 Actual (10/01 to 10/15)						
	Seller Origin	All CB	CNCB	KRCB	JPCB	Local SIP
ADO	ADO (MTD Actual)	**54,681**	44,583	6,892	1,980	1,226
	ADO Target	**58,628**	49,335	6,937	1,415	941
	RR vs Target	**93%**	**90%**	**99%**	**140%**	**130%**
ADO%	ADO% (MTD Actual)	**4.0%**	3.2%	0.5%	0.1%	0.1%
	ADO% Target	**4.1%**	3.5%	0.5%	0.1%	0.1%
	RR vs Target	**96%**	**93%**	**102%**	**144%**	**134%**
ADGMV	ADG (MTD Actual)	**1,486,227**	1,046,006	227,205	189,476	23,539
	ADG Target	**1,529,252**	1,183,917	239,318	86,867	19,150
	RR vs Target	**97%**	**88%**	**95%**	**218%**	**123%**
ABS	ABS (MTD Actual)	**27.2**	23.5	33.0	95.7	19.2
	ABS Target	**26.1**	24.0	34.5	61.4	20.4
	RR vs Target	**104%**	**98%**	**96%**	**156%**	**94%**
Paid Ads	Paid Ads (MTD Actual)	**511,285**	358,864	120,889	21,832	9,700
	- Gross Paid Ads (MTD Actual)	**534,082**	375,331	126,351	22,700	9,700
	- Free Credit (MTD Actual)	**22,797**	16,467	5,461	868	0
	Paid ads Target	**1,172,538**	838,172	265,732	50,716	17,918
	RR vs Target	**84%**	**83%**	**88%**	**83%**	**105%**

Summary

CNCB: ADO at 44.5k due to platform underperformance, SCS decline, and Popmart missing targets. Paid ads spend in line with topline underperformance.

KRCB: KRCB on par this month, with ADO% at 99% RR due to growth from 2 beauty sellers Meditherapy and OBGE (+0.4k). Paid ads under target due to sellers going on Chuseok holidays.

JPCB: ADO at 2.0k (140% RR) due to a mix of organic orders and fraud spike. Removing fraud impact, ADO will be around 1.6-1.7k which is still above target.

Local SIP: ADO at 1.2k (130% RR) due to increased marketing spend and organic growth from beauty and fashion.

Nicholas

TWCB P&L | Proj. Oct'25 MP PC2 + SLS + Standalone P&L projected at $3.57M (RR 99%, MoM +9%), including MP PC2 ($2.7M), SCS/LVT ($0.004M) & SLS ($0.84M)

		Sep-25	Oct-25				Nov-25
		M-1 Actual	Projection	Target	Projected		Target
					RR	MoM	
TWCB MP	CB Gross ADO	53,307	54,853	58,628	94%	3%	62,671
	CB ADO%	3.9%	4.1%	4.1%	100%	0.2%	4.0%
	CB ADGMV ($)	1,405,443	1,496,113	1,529,252	98%	6%	1,681,840
	CB ADGMV%	4.2%	4.5%	4.5%	101%	0.3%	4.3%
	ABS ($)	26.4	27.3	26.1	105%	3%	26.8
MP	CB Revenue ($)	4,328,645	4,999,739	5,077,841	98%	16%	5,406,235
	CB PRM ($)	1,465,172	1,855,087	1,896,272	98%	27%	2,018,208
	CB PC2 ($)	2,480,042	2,717,893	2,755,527	99%	10%	2,933,797
	CB PC2%	5.9%	5.9%	5.8%	101%	0.0%	5.8%
	CB Take Rate %	10.3%	10.8%	10.7%	101%	0.5%	10.7%
	CB CIR %	3.5%	4.0%	4.0%	100%	0.5%	4.0%
Lovito	Lovito ADO	245	176	262	67%	-28%	299
	Lovito ADGMV ($)	3,720	2,295	3,793	61%	-38%	4,328
	Lovito Standalone P&L ($)	2,081	1,251	-6,065	100%	-40%	-6,710
SCS	SCS ADO	1,478	1,082	1,144	95%	-27%	1,184
	SCS ADGMV ($)	12,602	8,946	9,381	95%	-29%	10,002
	SCS Standalone P&L ($)	4,778	3,560	4,727	75%	-25%	9,003
SLS	SLS P&L ($)	786,352	842,023	860,483	98%	7%	786,122
	SLS Outbound Orders	1,045,267	1,083,830	1,159,481	93%	4%	1,200,197
	SLS Profit/Outbound Orders	0.8	0.8	0.7	105%	3%	0.7
TWCB Total P&L		**3,273,254**	**3,564,727**	**3,614,671**	**99%**	**9%**	**3,722,213**

Key Highlights:

Topline

- **ADO RR 94%, ADO% RR 100%, ADG RR 98%, ADG% RR 101%**
  CB ADO% & GMV% on track.

Oct'25 P&L projected at $3.56M (RR 99%, MoM +9%)

- **MP: $2.7M PC2 (RR 99%) with PC2% at 5.9%.**
- **SCS/LVT Standalone P&L: $4k** (vs target $-2k)
- **SLS P&L: $842K (RR 98%).** Slight underperformance in line with overall topline RR

Topic 1b: Commercial - SLS

Nicholas

Order Distribution by channel | Oct'25 MTD saw an increase in Collection Point (SPX) to 43.5% due to 5DD channel closure due to 5DD closure, to normalise back to 37% by EOM

Seller origin	Channel ID	LM Vendors	Channel	Actual Jan 25	Actual Feb 25	Actual Mar 25	Actual Apr 25	Actual May 25	Actual Jun 25	Actual Jul 25	Actual Aug 25	Actual Sep 25	Actual MTD Oct 25	Projected EOM Oct 25
CNCB	38066	Collection point (SPX)	Air	48.7%	48.7%	45.9%	45.0%	43.6%	37.1%	37.8%	35.6%	1 37.1%	43.5%	37.3%
CNCB	38067	5DD	Air	0.6%	1.4%	2.5%	4.1%	6.0%	9.4%	12.5%	15.1%	12.9%	10.8%	15.0%
CNCB	38012	711	Air	6.7%	6.0%	6.0%	5.7%	5.8%	5.6%	5.5%	4.9%	4.9%	4.9%	5.2%
CNCB	38020	Family Mart	Air	5.7%	4.9%	4.8%	4.3%	3.5%	3.4%	3.1%	2.8%	3.0%	3.2%	3.0%
CNCB	38011	Heimao (Home Delivery)	Air	4.9%	4.7%	5.3%	4.1%	3.6%	4.8%	3.3%	4.4%	4.8%	3.7%	4.3%
CNCB	38018	711	Sea	14.1%	13.4%	14.4%	14.8%	14.6%	15.4%	14.0%	13.5%	12.2%	10.9%	12.6%
CNCB	38017	OK Mart	Sea	6.8%	5.8%	6.7%	6.1%	5.7%	5.6%	5.0%	4.3%	3.7%	3.3%	4.5%
CNCB	38010	宅配 (海運) Home delivery	Sea	1.8%	1.9%	2.0%	1.9%	2.6%	2.9%	2.5%	2.9%	2.7%	2.1%	2.7%
KRCB	All	All	All	8.4%	11.0%	10.0%	11.3%	11.4%	12.1%	12.7%	12.5%	14.3%	12.5%	11.8%
JPCB	All	All	All	1.1%	1.3%	1.2%	1.5%	1.7%	2.3%	2.3%	2.2%	2.4%	3.1%	2.2%
SIP	All	All	All	1.1%	1.1%	1.2%	1.2%	1.4%	1.3%	1.5%	1.7%	1.8%	2.1%	1.4%
Total	**All**	**All**	**All**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Total	**All**	**All**	**All**	**1,033,048**	**1,107,483**	**1,228,001**	**1,139,921**	**1,162,149**	**1,105,461**	**1,113,798**	**1,104,387**	**1,045,267**	**455,309**	**1,154,660**

Key Highlights:

1 **Collection point (SPX) MTD 45.5% (+8% MoM) due to 5DD closure, expected to normalise by EOM:** Due to 5DD closure in end-Sept to early-Oct, orders were diverted to SPX channel. Orders are expected to normalise back to 37% by EOM

Nicholas

By Channel P&L | All channels remain profitable, except for 7-11 Seashipping

MTD SLS P&L performance till Oct-14															
LM Vendors	Channel	Shipped QTY	Vol share	Total ASF	Total Cost	Avg weight	ASF/pc	cost/pc	LH cost/kg	CC cost/kg	LM cost/pc	Other cost/pc	WHS cost/pc	PPO	% Total P&L
Collection point (SPX)	Air	181,692	53%	585,989	430,701	0.547	3.23	2.37	1.64	0.49	1.08	0.02	0.10	0.85	73%
5DD	Air	42,498	12%	157,896	103,683	0.563	3.72	2.44	1.71	0.49	1.08	0.02	0.09	1.28	66%
711	Air	20,210	6%	86,907	61,968	0.734	4.30	3.07	1.64	0.47	1.39	0.02	0.09	1.23	71%
Family Mart	Air	13,134	4%	56,158	40,084	0.728	4.28	3.05	1.65	0.49	1.38	0.02	0.09	1.22	71%
Heimao (Home Delivery)	Air	15,586	5%	101,384	80,015	1.343	6.50	5.13	1.63	0.47	2.20	0.02	0.09	1.37	79%
711	Sea	44,120	13%	71,378	81,106	0.395	1.62	1.84	2.03	0.00	0.92	0.02	0.09	-0.22	114%
OK Mart	Sea	13,414	4%	20,129	19,112	0.424	1.50	1.42	1.91	0.01	0.49	0.02	0.09	0.08	95%
宅配 (海運) Home delivery	Sea	8,497	2%	39,458	30,022	1.187	4.64	3.53	1.02	0.00	2.20	0.02	0.09	1.11	76%

Key Highlights:

1. Positive PPO seen in all channels except 7-11
2. Only 7-11 Sea channel with more negative P&L at 114% due to higher LM costs vs Ok Mart

Nicholas

[Backup] Choice Topline & PnL Change | SCS underperformance due to traffic deboosting, which impacted overall P&L performance

Data as of 31-Aug	Metric	Sep-25	Oct-25				Nov-25
		Actual	MTD	Projection	Target	RR	Projection
TW SCS	ADO	1,256	1,054	1,082	1,144	95%	1,184
	ADGMV	$10,247	$8,662	$8,946	$9,381	95%	$10,002
	ABS	$8.2	$8.2	$8	$8.2	101%	$8.4
	MP PC2	**$6,710**	**$5,010**	**$11,042**	**$11,862**	**93%**	**$12,325**
	SLS	**-$1,646**	**-$268**	**-$464**	**-$1,257**	**271%**	**-$179**
	Standalone P&L	**$7,201**	**$2,017**	**$3,560**	**$4,727**	**75%**	**$9,003**
	Overall P&L	**$12,266**	**$6,759**	**$14,137**	**$15,332**	**92%**	**$21,149**
TW Lovito	ADO	192	160	176	262	67%	299
	ADGMV	$2,733	$2,189	$2,295	$3,793	61%	$4,328
	ABS	$14.3	$13.7	$13.0	$14.5	90%	$14.5
	MP PC2	**$567**	**$536**	**$1,050**	**$1,046**	**100%**	**$1,295**
	SLS	**-$1,385**	**-$936**	**-$2,144**	**-$2,378**	**111%**	**-$3,149**
	Standalone P&L	**$663**	**$712**	**$1,251**	**-$6,065**	**-21%**	**-$6,710**
	Overall P&L	**-$155**	**$312**	**$157**	**-$7,397**	**-2%**	**-$8,563**

Key Highlights

- **Proj Oct'25 SCS P&L $14k (92% RR):**
  - MP PC2 $11k (93% RR) mainly due to underperformed topline
  - SLS -$0.5k (vs target -$1.2k)
  - Standalone P&L $3.6k (vs target $4.7k), due to higher SG&A cost

Topic 2a: Overall CB

Topic 2a: [For Update] BFD Impact

BFD impact | Over the past year, CNCB lost 7.8k ADO, of which 81% or 6.3k is attributed to banned / frozen/ deleted (BFD) shops. Deleted shops make up the bulk at 53% or 4.1k, which cannot be recovered

Table 1: Overall CNCB YoY order impact by shop status

#	Reason	YoY Order Impact	% of total impact	% of 2024's ADO
1	Deleted Shops	4.1	53%	7%
2	Frozen/Banned Shops	2.2	28%	4%
3	Live Shops	1.5	19%	3%
	Total	**7.8**	**100%**	**14%**

Table 2: ADO Impact breakdown and recovery status by shop status

Classification	Impacted [1]			Already Recovered by Ops [2]			Still not recovered [1-2]		
	# of SKUs (M)	# of shops (K)	YoY ADO impact (K)	# of SKUs (M)	# of shops (K)	YoY ADO impact (K)	# of SKUs (M)	# of shops (K)	YoY ADO impact (K)
Deleted	1.8	20.0	4.1	0.0	0.0	0.0	1.8	20.0	4.1
Banned / Frozen	7.5	35.8	3.8	2.1	9.4	1.6	5.4	26.4	2.2
Total	**9.3**	**55.8**	**7.9**	**2.1**	**9.4**	**1.6**	**7.2**	**46.4**	**6.3**

Key Highlights

1. **Overall CNCB ADO fell 14% YoY, or around 7.8k ADO**
   - **[Top reason] 11% YoY, or 6.3K ADO** were lost due to **banned/frozen/deleted (BFD) shops**,
     - **Deleted shops accounted for the main bulk at 53%** (4.1K ADO) while banned/frozen shops made up 28% (2.2K ADO)
2. Looking at the overall BFD impacted orders since last year, around **7.9k ADO was BFD, and only 1.6k (23%) is recovered by Ops auto-revival**

BFD impact by cluster | Breaking down the ADO drop, 3.2k ADO (or ~50%) are from sellers that quit Shopee. By cluster, the biggest drop is from Fashion with 3.1k ADO. We do not propose any further actions for now.

Table 3: Order impact by reason and cluster

Classification	Total		Fashion		Lifestyle		FMCG		Electronics	
	ADO impact	% of 2024's ADO	ADO impact	% of 2024's ADO	ADO impact	% of 2024's ADO	ADO impact	% of 2024's ADO	ADO impact	% of 2024's ADO
Deleted	-4,056	-7.1%	-1,997	-8.5%	-1,186	-6.1%	-574	-6.5%	-299	-5.9%
... Seller quit	1 -3,160	-5.6%	-1,465	-6.3%	-971	-5.0%	-475	-5.3%	-249	-4.9%
... Counterfeit	-405	-0.7%	-293	-1.3%	-78	-0.4%	-12	-0.1%	-22	-0.4%
... Non-sale tag	-229	-0.4%	-134	-0.6%	-66	-0.3%	-27	-0.3%	-2	0.0%
... Others	-262	-0.5%	-105	-0.4%	-71	-0.4%	-60	-0.7%	-26	-0.5%
Banned/Frozen	-2,151	-3.8%	-1,134	-4.8%	-560	-2.9%	-293	-3.3%	-164	-3.2%
... Counterfeit	-793	-1.4%	-608	-2.6%	-80	-0.4%	-27	-0.3%	-78	-1.5%
... Listings	-400	-0.7%	-27	-0.1%	-163	-0.8%	-171	-1.9%	-39	-0.8%
... Fulfilment	-363	-0.6%	2a -319	-1.4%	-13	-0.1%	-11	-0.1%	-20	-0.4%
... Others	-595	-1.0%	-180	-0.8%	-304	-1.6%	-84	-0.9%	-27	-0.5%
Total	**-6,207**	**-10.9%**	2 **-3,131**	**-13.4%**	**-1,746**	**-9.0%**	**-867**	**-9.8%**	**-463**	**-9.2%**

Key Highlights

1 **Seller quitting makes up 3.2k of the total drop (or ~50%).** These are due to sellers that are (1) decided that TW will not be their focus markets, (2) frustrated with our penalty point system

2 **Fashion was the most impacted cluster, contributing 3.1k or ~50% of total BFD ADO loss, followed by Lifestyle contributing 1.7k, or 28% of total loss:** Experienced a -13% and -9% YoY decline for each cluster respectively. This is to address TW team's qn on why CB fashion and Lifestyle has fallen vs Local

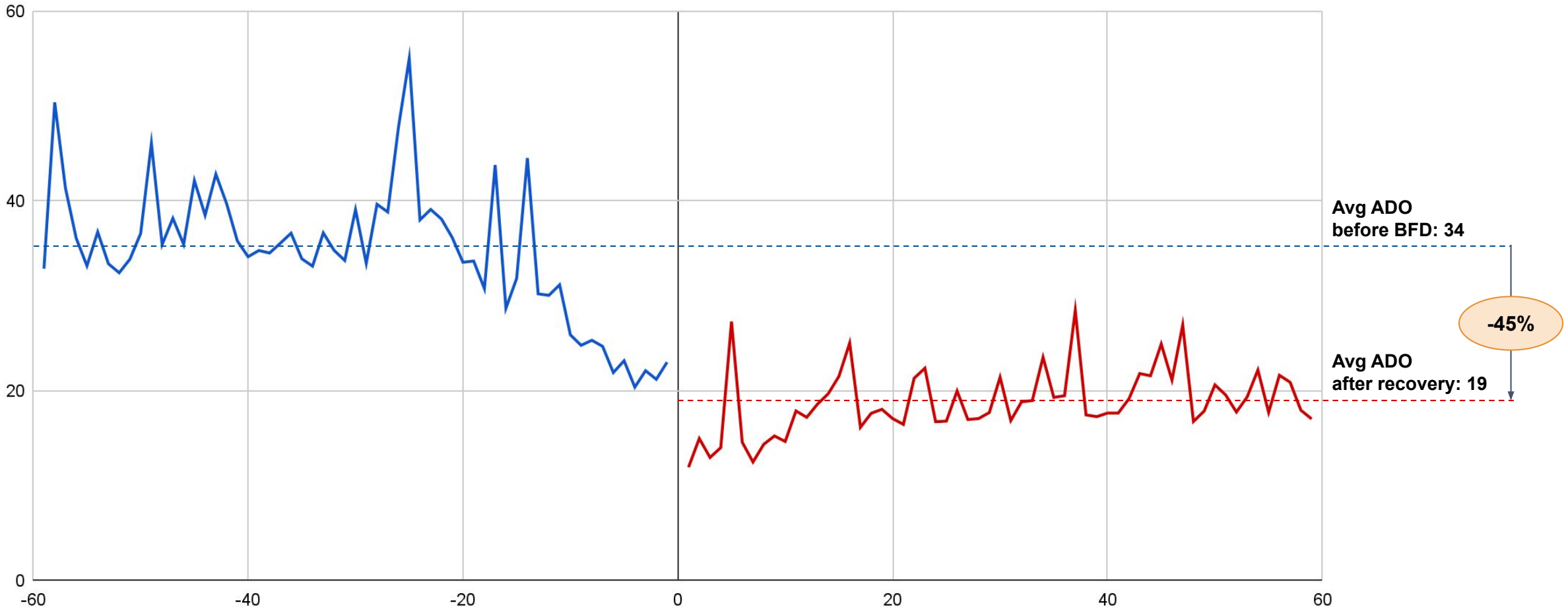
2a -319 ADO due to fulfilment reasons, specifically referring to NFR/LSR, highlighting that NFR/LSR does not take up a huge part of BFD currently

Next steps:

1. We propose **not** to take any further actions for BFD shops since recovering them will not bring about any significant uplift
2. We will look into the Live shops, which contributed 19% of the drop and deep dive into NPC and potential uplift and update in our next meeting

[Backup - BFD Recovery Trend] | Over the past year, we saw that BFD shops can only recover 55% of ADO after 2 months

ADO trend of top 100 BFD shops that has recovered
Date: 2 months before BFD & 2 months after recovery



Topic 2b: [For Update] SCS Performance Review

SCS 2025 Performance Drop Deep Dive | SCS ADO dropped -2.3k or 64% since Mar, mainly contributed from organic traffic drop contributing 18%, and reduction in lowest cheapest item contributing 43%

Table 1: SCS ADO vs traffic

		Mar	Apr	May	Jun	Jul	Aug	Sep	Oct MTD
ADO	1 **Total**	**3,594**	**2,608**	**2,230**	**1,969**	**1,711**	**1,473**	**1,242**	**1,032**
	... Ads	449	578	611	643	536	541	473	368
	1 ...non Ads	3,145	2,029	1,620	1,326	1,175	932	769	664
	...Ads%	12%	22%	27%	33%	31%	37%	38%	36%
View	**Total**	**317,571**	**247,939**	**203,791**	**171,200**	**141,417**	**127,978**	**95,123**	**76,205**
	... Ads	12,404	22,088	21,280	19,393	14,148	19,686	15,215	11,423
	2 ..non Ads	305,167	225,850	182,512	151,807	127,269	108,292	79,908	64,782
	...Ads%	4%	9%	10%	11%	10%	15%	16%	15%
CR	**Total**	**1.13%**	**1.05%**	**1.09%**	**1.15%**	**1.21%**	**1.15%**	**1.31%**	**1.35%**
	... Ads	3.62%	2.62%	2.87%	3.31%	3.79%	2.75%	3.11%	3.22%
	...non Ads	1.03%	0.90%	0.89%	0.87%	0.92%	0.86%	0.96%	1.03%
SKU #	**Total**	**44,614**	**45,223**	**44,585**	**43,142**	**47,963**	**62,317**	**92,271**	**142,590**
	3 **.. Cheapest Item #**	15,306	12,935	10,613	8,733	7,818	6,580	5,559	4,196

Table 2: SCS ADO drop root cause deepdive

ADO loss contribution:	Mar	Sep	ADO loss
Total ADO drop	**3,594**	**1,242**	**-2,352**
... (1) Items are cheapest for all days in Mar	2,826	704	3 -2,122
..... (1.1) Items that are no longer cheapest	-	-	-655
..... (1.2) Items impacted by organic traffic drop	-	-	-1,528
... (2) Items are not cheapest for all days in Mar	768	538	-230

Highlights:

1. **Overall SCS ADO dropped from 3.6k in Mar to 1.0k in Oct:** Majority of the drop comes from non-ads orders, or in other words mainly organic orders

2. **Looking into views, we see that non-ads views has dropped from 306k to 65k (-80% drop):** This is attributed to a mix of traffic boosting removing, and a drop in cheapest SKU#. Overall SKU# did increase, but cheapest item # fell

3. **Breaking down -2.3k drop or -64%, the top 2 reasons are due to**
   a. **(1.1) Items are no longer cheapest:** -655 ADO or 18% for items who were cheapest in Mar and no longer cheapest in Sep
   b. **(1.2) Items impacted by organic traffic drop:** -1,528 ADO or 43% for items who were impacted by the traffic drop

SCS Q4 plan | SCS Q4 ADO target is expected to remain at ~1K for Q4'25, and 1.5k for 2026

Table 3: SCS Q4'25 and '26 Projections

Domain	Metric	Sep-25	Oct-25					Nov-25	Dec-25	2025	2026
		Actual	*EOM Projection*	*Target*	*Projected*			*Target*	*Target*	*EOY Proj.*	*Target*
					RR	*MoM*					
Topline	ADO	1,478	1,110	1,144	97%	-23%	1	1,184	1,169	2,011	1,462
	ADG	12,602	9,149	9,381	98%	-26%		10,002	9,927	16,450	13,211
	ABS	8.5	8.2	8.2	100%	-4%		8.4	8.5	8.2	9.0
Catch up plan	Cheapest item #	1,219	1031	1,031	100%	-15%	2	TBD, estimated ≈ Oct		-	
	Ads investment	18420	19627	17000	85%	-19%					

Key highlight:

1. **Q4 ADO expected to remain around ~1k level:** Due to the majority of the fall being due to traffic drop, SCS is unlikely to have large increase in the upcoming months or in 2026
2. **Cheapest item count and Ads investment expected to stay unchanged**

Backup | SCS ADO drop methodology

Table 1: ADO loss contribution factor

# of days items was cheapest in Sept	Contributing factors	ADO delta #	ADO delta %
0	Total ADO loss	-549	-
	--- Cheapest item # drop	-549	-100%
	--- Impression drop	0	0%
	--- CRXCTR change	0	0%
1-15	Total ADO loss	-180	-
	--- Cheapest item # drop	-69	-38%
	--- Impression drop	-118	-66%
	--- CRXCTR change	7	4%
16-30	Total ADO loss	-280	-
	--- Cheapest item # drop	-38	-13%
	--- Impression drop	-277	-99%
	--- CRXCTR change	35	12%
31	Total ADO loss	-1,113	-
	--- Cheapest item # drop	0	0%
	--- Impression drop	-1,133	-102%
	--- CRXCTR change	19	2%
Total	Total ADO loss	-2,122	-
	--- Cheapest item # drop	-655	-31%
	--- Impression drop	-1,528	-72%
	--- CRXCTR change	61	3%

Note: Data only focused on items that were cheapest for all days in in Mar

Topic 2c: [For Update] JP Fraud Update

JP OB (order brushing) | JP order brushing detected of ADO up to ~0.3k and ADG up to 130K USD; no financial loss and payments held to prevent payout

Table 1: JP weekly performance from last few weeks

JP WoW performance	8-Sep	15-Sep	22-Sep	29-Sep	6-Oct
ADO	1,641	1,312	1,202	1,649	2,228
ADG *(USD)*	101,694	78,527	89,413	201,858	184,564
ABS *(USD)*	62	60	1 74	122	83

Table 2: JP OB (order brushing) impact

Order Brushing Sellers	22-Sep	29-Sep	6-Oct
ADO	42	301	189
ADG *(USD)*	19,549	130,673	69,102
ABS *(USD)*	470	434	365
Seller #	43	74	86
Escrow payment	2 0	0	0

No actual escrow loss to Shopee

Key Highlights

1. **JP's ABS increase to 122 USD on week of 29 Sep, from BAU $60+ due to fraud:** Due to a group of JP-TW sellers creating high ABS fake orders with the purpose of order brushing

2. **No financial loss has occurred:** As payments are on hold and orders are unshipped, all 3.7k orders with 1.5 mil GMV **will not be paid**

JP OB (order brushing)| Short-term: weekly payment holds for JP fraud sellers; long-term: prevent fraud via seller onboarding and order brushing system improvements

Stage	Term	#	Action	PIC	ETA
Seller onboarding	Mid-term	1	**Refine seller onboarding criteria** to block potential fraud sellers	JP SO	Nov'25
Order place	Short-term	2	Conduct weekly review on high-ABS sellers to **identify potential fraud cases** and hold payments	TWCB/ TW fraud/ CN payment	Ongoing
	Short-term	3	**Refine criteria to capture fraud sellers** based on seller common patterns	TWCB	22 Oct
	Mid-term	4	Enhance **system** to detect high-ABS order brushing	S&R/ TW fraud	Dec'25
After identifying fraud sellers	Mid-term	5	**Tighten policy to ban** high-ABS order brushing sellers due to higher financial risk	TWCB/ TW fraud	Nov'25
Prevention of similar cases	Mid-term	6	Set up **monitoring for sellers with abnormal ABS**	TWCB/ TW fraud	Nov'25

Topic 2d: KRCB & JPCB (New Seller Program)

KR & JP New Seller Programme | Total of 21 sellers in the programme, +6 MoM, total contributing to 351 ADO and 13.3K ADG. KR NSP underperforming due to 2 key sellers declining MoM

Table 1: KR/JP new seller programme

Seller Market	Metrics	Jul'25	Aug'25	Sep'25	Oct'25			
		Actuals	*Actuals*	*Actuals*	*MTD*	*Target*	*RR*	*MoM*
KR NSP	ADO	246	306	334	251	421	60%	▼ -25%
	ADG	7,941	9,216	12,867	9,118	12,630	72%	▼ -29%
	Seller#	9	11	13	16	17	94%	▲ 23%
	SKU#	302	395	459	623	537	116%	▲ 36%
	Take Rate	15%	16%	13%	18%	9%	215%	▲ 38%
	CIR	7%	7%	5%	6%	4%	149%	▲16%
	PC1%	7%	9%	8%	12%	4%	277%	▲ 53%
	PC2%	7%	8%	7%	11%	4%	284%	▲ 60%
JP NSP	ADO	0	65	58	100	55	182%	▲ 73%
	ADG	0	2,055	1,813	4,208	2,590	162%	▲ 132%
	Seller#	0	2	2	5	6	83%	▲ 150%
	SKU#	0	2,918	3,379	8,717	6,000	145%	▲ 158%
	Take Rate	-	13%	18%	21%	19%	109%	▲ 13%
	CIR	-	4%	4%	6%	5%	113%	▲33%
	PC1%	-	9%	14%	15%	13%	116%	▲ 7%
	PC2%	-	8%	13%	14%	12%	118%	▲ 8%

** Data as of 13 Oct*
** JP NSP started in Aug 2025*

Key Highlights

1. KR NSP
- **Seller #:** 16 sellers in the programme, +3 MoM, 1 new seller in Fashion, TKB and Beauty each
- **Seller pipeline:** Pipeline: 4 new sellers (3 from Counter CP and 1 from other site migration) in incubation/shop opening stage, project to join the program in Nov
- **Performance**: MTD ADO of 251 (21 by new sellers), MoM -29% and 60% RR due to drop in Arencia (seller lower focus in Oct due to KR holidays) and NE:AR (less effective KOL groupbuy)

2. JP NSP
- **Seller #:** 5 sellers in the programme, +3 MoM, 3 new Fashion sellers
- **Seller pipeline:** Pitching to selected GPs that are in other markets to open shop in TW; and SA team targeting 2 brands to onboard to Shopee
- **Performance**: MTD ADO of 100, MoM +73% and 182% RR from new program sellers ADO and spike day campaigns

Topic 3: Key initiatives and project updates

Topic 3a: [For Update] Counter Coupang Program

SOB Comparison | With updated Coupang performance projections, KRCB targets 0.61x SOB by December (Sep 0.47x) via active sourcing and NPC push

Metric	Month	View 1: Platform vs Coupang			View 2: KR CB vs Coupang CB		
		SHP	CP	SOB	SHP	CP	SOB
ADO (k)	Aug'25	1,339	162	8.27x	6.6	16.2	0.41x
	Sep'25	1,390	158	8.8x	6.6	15.8	0.42x
	Oct'25	1,414	150	9.43x	7.5	15.1	0.50x
	Nov'25	1,605	188	8.54x	9.0	18.8	0.48x
	Dec'25	1,503	178	8.45x	10.7	17.9	0.60x
ADG (k, USD)	Aug'25	32,203	5,444	5.92x	227	544	0.42x
	Sep'25	33,747	4,804	7.02x	225	480	0.47x
	Oct'25	34,748	4,669	7.44x	255	467	0.55x
	... F&B				*0.1*	187	*0.00061x*
	... TKB				*12.5*	93	*0.13x*
	... Beauty				*153.9*	70	*2.19x*
	... Fashion				*17.0*	23	*0.74x*
	... Others				*71.4*	93	*0.76x*
	Nov'25	40,119	6,304	6.36x	306	630	0.48x
	Dec'25	37,587	6,000	6.26x	365	600	0.61x
	... F&B				*23.1*	*240*	*0.10x*
	... TKB				*55*	*120*	*0.46x*
	... Beauty				*191*	*90*	*2.11x*
	... Fashion				*18*	*30*	*0.62x*
	... Others				*77*	*120*	*0.64x*
ABS (USD)	Aug'25	24.1	33.6	0.72x	34.2	33.6	1.02x
	Sep'25	24.3	33.6	0.81x	34.2	30.3	1.13x
	Oct'25	24.6	31.1	0.81x	34.2	31.0	1.10x
	Nov'25	25.0	33.5	0.75x	34.0	33.5	1.01x
	Dec'25	25.0	33.7	0.74x	34.2	33.6	1.02x

Highlights:

1. **[Target]** KRCB targets 0.61x SOB in December and 0.55x in October
   a. Biggest gaps are in F&B, TKB but Shopee sees advantage in Beauty
2. **[Reason for update]** Coupang # were updated due to refining actual/projection estimates
   a. Previous: estimation of ADG based on traffic, platform activities
   b. Current (actuals): based on shipment info gathered on TW CC platform via internal intel
   c. Current (projections): refined through updating CB % of CP platform based on Sep trends
3. **[Next steps] Projections for Coupang are to be updated, as current # show dramatic increase in Nov-Dec**

SOB MoM Breakdown | As of current, KR expects 0.47x SOB (vs target 0.55x) and ADG RR of 87%, but by pushing sourcing/NPC initiatives KR will be able to reach 0.52 SOB and 95% RR

1. **[Progress] As of current, KRCB expects 0.47x (vs target 0.55x)**
    a. Expected ADG RR of 87%, but 103% in SKU count
2. **[Reason for progress]** On top of platform & KRCB degrowth, initiative execution has been delayed due to 2-week KR holiday
    a. Platform degrowth: TW MoM -6% (vs KR -1%)
    b. KRCB degrowth: KRCB historically tends to spike on Sep then again in Nov; Oct is a relief period for sellers
    c. KR holiday: Due to only 1 working week from 2 week holiday, KR RM/sellers have not been able to execute initiatives to full potential
3. **[Expected progress]** By pushing the below initiatives, KRCB expects to reach 95% RR (0.52 SOB) by EoM
    a. Voucher for NPC: Vouchers are to be issued on 10/20
    b. New SKU sourcing: new incentive program for resellers
    c. Migration: stronger push of migration initiative through lead-RM sync-up
    d. (TKB) 1) create new incentives for TKB to focus on SKU acquisition/migration where TKB is most lacking & 2) ERP system integration to onboard more sellers as TKB has most # of brands who refused onboarding

Category	Metric	Shopee								
		Oct'25					Nov'25		Dec'25	
		Runrate	*Actuals*		*Target*		*Target*		*Target*	
			#	SOB	#	SOB	#	SOB	#	SOB
Total	Platform CB ADG *(USD)*	**87%**	221,019	0.47	254,501	0.55	305,273	0.48	364,579	0.61
	... Crawled SKU ADG	**19%**	4,653	0.05	23,966	0.26	43,900	0.35	64,039	0.53
	Platform CB SKU #	**103%**	438,639	0.44	426,543	0.43	432,699	0.43	439,272	0.44
	Platform CB SKU Match %	*1%p*	*44%*	-	*43%*	-	*43%*	-	*44%*	-
	... Crawled SKU #	**70%**	1,467	-	*2,091*	-	*3,195*	-	*3,940*	-
	... Crawled SKU NPC%	*-33%p*	*-69%*	-	*-37%*	-	*-37%*	-	*-37%*	-
	... Crawled SKU Match %	*25%*	*25%*	-	*36%*	-	*55%*	-	*67%*	-

**October ADG actuals based on EOM projection by KRCB*

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SOB MoM Breakdown | Appendix: SOB by category (1/2)

Category	Metric	Shopee								
		Oct'25					Nov'25		Dec'25	
		Runrate	Actuals		Target		Target		Target	
			#	SOB	#	SOB	#	SOB	#	SOB
F&B	Platform CB ADG *(USD)*	156%	177	0.00	114	0.00	5,463	0.02	23,105	0.10
	... Crawled SKU ADG	90%	6	0.00	7	0.00	228	0.00	907	0.02
	Platform CB SKU #	58%	3,424	0.02	5,919	0.03	9,912	0.06	14,501	0.08
	Platform CB SKU NPC %								99%	-
	Platform CB SKU Match %	-1%p	2%	-	3%	-	6%	-	8%	-
	... Crawled SKU #	129%	49	-	38	-	203	-	394	-
	... Crawled SKU NPC%	-7%p	-91%	-	-84%	-	-84%	-	-84%	-
	... Crawled SKU Match %	5%	5%	-	4%	-	22%	-	43%	-
TKB	Platform CB ADG *(USD)*	36%	4,444	0.05	12,226	0.13	35,536	0.28	54,940	0.46
	... Crawled SKU ADG	8%	369	0.02	4,460	0.19	10,267	0.44	15,676	0.65
	Platform CB SKU #	171%	19,648	0.09	11,460	0.05	12,570	0.06	13,494	0.06
	Platform CB SKU NPC %								87%	-
	Platform CB SKU Match %	4%p	9%	-	5%		6%		6%	-
	... Crawled SKU #	71%	218	-	307	-	584	-	841	-
	... Crawled SKU NPC%	-3%p	-95%	-	-91%	-	-91%	-	-91%	-
	... Crawled SKU Match %	15%	15%	-	22%	-	41%	-	59%	-

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SOB MoM Breakdown | Appendix: SOB by category (2/2)

Category	Metric	Shopee								
		Oct'25					Nov'25		Dec'25	
		Runrate	Actuals		Target		Target		Target	
			#	SOB	#	SOB	#	SOB	#	SOB
Beauty	Platform CB ADG *(USD)*	92%	141,731	2.02	153,765	2.19	172,140	1.81	190,830	2.11
	... Crawled SKU ADG	25%	4,085	0.24	16,365	0.95	27,841	1.58	39,493	2.19
	Platform CB SKU #	96%	233,550	1.30	242,961	1.35	243,836	1.36	244,726	1.36
	Platform CB SKU NPC %									-
	Platform CB SKU Match %	*-5%p*	**130%**	-	**135%**	-	**136%**	-	**136%**	-
	... Crawled Brand #	*0%*		-	*23*	-	*26*	-	*29*	-
	... Crawled SKU #	*71%*	*1,060*	-	*1,485*	-	*2,032*	-	*2,586*	-
	... Crawled SKU NPC%	-	***-63%***	-	***-25%***	-	***-25%***	-	***-25%***	-
	... Crawled Brand Match %	*-45%p*		-	**45%**		**51%**		**57%**	-
	... Crawled SKU Match %	52%	***52%***	-	**73%**	-	**99%**	-	**127%**	-
Fashion	Platform CB ADG *(USD)*	92%	15,617	0.68	17,004	0.74	17,718	0.57	18,411	0.62
	... Crawled SKU ADG	4%	93	0.02	2,063	0.36	2,791	0.48	3,497	0.59
	Platform CB SKU #	98%	45,850	0.22	46,679	0.23	46,713	0.23	46,746	0.23
	Platform CB SKU NPC %									-
	Platform CB SKU Match %	*0%p*	**22%**	-	**23%**	-	**23%**	-	**23%**	-
	... Crawled SKU #	*62%*	*98*	-	*157*	-	*192*	-	*226*	-
	... Crawled SKU NPC%	*-8%p*	***-80%***	-	***-72%***	-	***-72%***	-	***-72%***	-
	... Crawled SKU Match %	9%	***9%***	-	**14%**	-	**18%**	-	**21%**	-

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F&B Deep Dive | Check List and ETA for TW F&B New Channel Launch

#	Feature	Teams involved	Dev Effort	PIC	Current Status	ETA
1	Buyer must have IC number available during checkout (need to consider the new APP version upgrade)	Checkout, User	High	Tammy	Raised	TBC
2	More information (buyer ID Number) to be sent to SLS	ODO, OMS, SLS	Low	Tammy	Raised	TBC
3	More information (buyer ID Number) to be sent to JieFeng	SLS	Low	Vincent		
4	This channel must bypass the pre-auth and parcel holding logic (non-Green status)	ODO	Config Only	Tammy & Vincent	No Dev	Config during testing
5	Tax auto-refund should use 3.12 API return instead of Ezway SFTP	C&S, SLS, MPP	High	Tammy	Raised	TBC
6	New Channel set up and add channel limitation	SLS	Low	Vincent	Developing	
7	External party development for G1 declaration	Jiefeng, EZway	Mid	Vincent		

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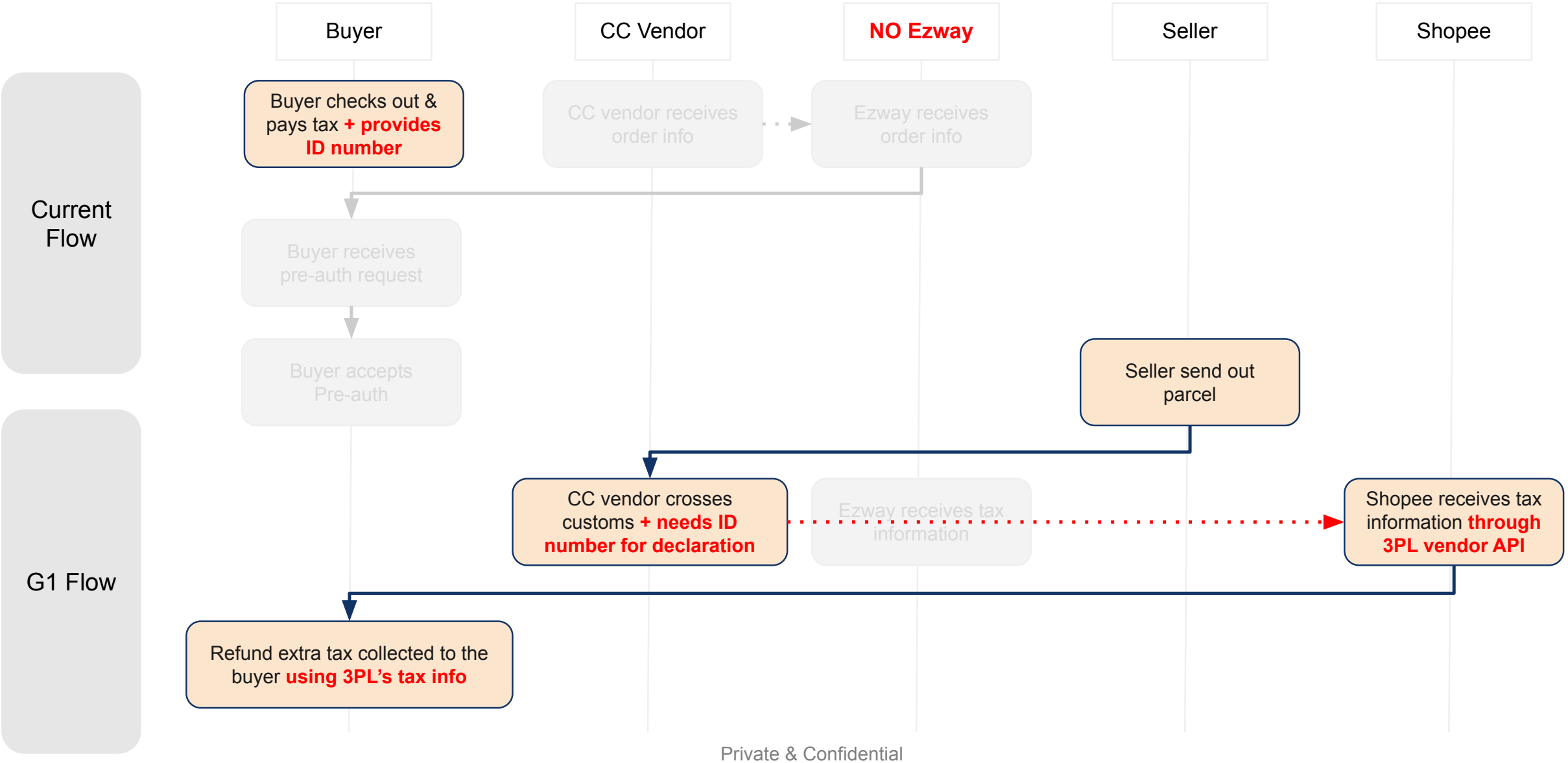
F&B Deep Dive | Check List and ETA for TW F&B New Channel Launch

#	Feature	Teams involved	Dev Effort	PIC	Current Status	ETA
8	CC vendor and rate confirmation	KR SLS	None	Joanne	Done	Done
9	Compliance check for buyer IC data collection and storage	Compliance / SG Legal	None	Joanne	Submitted to SG Legal	TBC
10	TW F&B New Channel Launch Compliance Check with TW Legal	Reg CB / TW Legal	None	Nicholas/Hyunji	Pending info from relevant PICs	Early Nov
						34

F&B Deep Dive : Reference | Coupang TW Buyer IC Collection Page UI/UX for F&B orders (G1 Declaration Method)

F&B Deep Dive : Reference | Flow differences between current logic and the G1: G1 F&B flow (UI/UX to be updated later)



F&B Deep Dive: Appendix | KRTW SLS PnL Impact with F&B new channel launch

KRTW Monthly PnL Projection (USD)

Currency: USD

	Monthly P&L w/o F&B (All Channels) [A]	Monthly P&L with F&B (All Channels) [B]	%Change [A vs B]	TW F&B Only - Heimao HD Channel Only
Order #	194,574	214,120	10.0%	19,546
Total ASF (USD)	836,459	932,263	11.5%	95,804
Total Weight (kg)	108,250	122,043	13%	13,793
Avg weight per order (kg)	0.56	0.570	2%	0.71
Avg ASF per order	4.30	4.35	1%	4.90
Total cost	630,869	795,957	26%	165,088
- Warehouse cost	114,799	126,331	10%	11,532
-% whs cost on ASF	18%	13.55%	-25%	12%
- First Leg Cost	243,933	287,978	18%	44,045
- % FL cost on ASF	39%	30.89%	-20%	46%
- CC Cost	56,324	122,729	118%	66,405
- % CC cost on ASF	9%	13.16%	48%	69%
- Last Mil Cost	214,593	257,307	20%	42,714
- % LM cost on ASF	33.9%	27.60%	-19%	45%
- Other Cost	3,891	4,282	10%	391
- % other cost on ASF	0.6%	0.46%	-25%	0.39%
- SLS+ Net Profit (net positive)	2,671	2,671	0%	
Profit (USD)	202,919	133,635	-34%	-69,284
% total cost on ASF	*75.7%*		-100%	172%
Avg CPO	3.24	3.72	15%	8.45
P&L%	75.4%	85.38%	13%	172%
PPO	1.04	0.62	-40%	-3.54

KRTW Monthly SLS PnL Projection (Post F&B Channel Launch)

Impact

- SLS PnL% +13%; PPO ↓40% with launch of TW F&B (Heimao HD)
- 40% of additional cost from Customs Clearance (G1 formal declaration), ~6.5× cost of simplified method (current non-F&B CC method)
- Still KRTW PPO remains positive at USD 0.62/order

Next Steps/Further Discussion

- *Evaluate SPX-CP as last mile option – need reliable weight/dimension forecast of target Coupang SKUs
- *Review SPX-HD cost and expedite rollout

*Note: Current PnL forecast is based on 100% Heimao HD channel

Assumptions:
TW F&B only use last mile vendor Heimao - Home Delivery channel due to F&B having higher volume than non-F&B

Progress Deep Dive | Unlike brand sourcing (RR 133%), SKU sourcing has been slow due due to KR holiday; From creating incentives & stronger monitoring KR expects to reach ~40% RR at EOM

Category	Sourcing type	Metric	Oct			Nov	Dec
			Runrate	Actuals	Target	Target	Target
Total	Total	Brands	133%	12	9	16	23
		SKUs	9%	102	1,092	7,260	13,843
	New sourcing	Brands	133%	12	9	16	23
		SKUs	9%	46	492	960	1,428
	Migration	SKUs	9%	56	600	6,300	12,415
TKB	Total	Brands	150%	3	2	4	6
		SKUs	12%	43	349	1,459	2,383
	New sourcing	Brands	150%	3	2	4	6
		SKUs	0%	0	150	337	523
	Migration	SKUs	22%	43	199	1,122	1,860
Beauty	Total	Brands	100%	4	4	7	10
		SKUs	7%	40	580	1,455	2,345
	New sourcing	Brands	100%	4	4	7	10
		SKUs	13%	28	209	387	566
	Migration	SKUs	3%	12	371	1,068	1,779
Fashion & Others	Total	Brands	167%	5	3	5	7
		SKUs	11%	18	163	353	533
	New sourcing	Brands	167%	5	3	5	7
		SKUs	14%	18	133	236	339
	Migration	SKUs	0%	0	30	117	194

- **[Progress] Due to active brand acquisition via SA, brand acquisition RR will reach 133%** (incl brands in pipeline) **but SKU RR is slower at 5%**
- **[Reason for progress] RR has been slow especially in new SKU sourcing via reseller & SKU migration** due to the below reasons
  - Reseller: PIC has been on leave for Oct W1-3 and thus have not been able to communicate with resellers
  - Migration: Target was delivered to SMT leads but not effectively communicated to RMs from leads
- **[Expected progress] Through accelerating reseller SKU sourcing and SKU migration, KR will be able to achieve SKU RR ~40%**
- **[Initiatives] As SA is overachieving on target, focus will be on new SKU sourcing via reseller & SKU migration**
  - Reseller (existing)
    - Create new incentive program for reseller sourcing (based on SG OY SKU sourcing project),
    - Share ADO projections to resellers to make sourcing for Shopee more attractive
    - Planning frequent meetings with PIC to communicate with resellers
  - Reseller (new): Collecting list of TW distributors of brands refusing to onboard, will contact to onboard new distributors (resellers)
  - SKU migration
    - Adjust migration target to align with SMT needs (excl banned items in TW, IP infringement items)
    - Weekly sync-up meetings with SMT leads & RMs to monitor RR and push initiative
  - ERP migration: Communicating with ERP providers on which brands they support & willingness of brands to onboard with ERP migration

NPC Update | Overall NPC improved from -70% to -69% overall

Regions	Scope	12 October 2025						30 September 2025				
		#SKU		% Net Competitiveness				#SKU		% Net Competitiveness		
		On CP	On Shopee	On Shopee (% to CB L1)	After SHP & CP rebate [C]	After rebate and Voucher [D]	After rebate, voucher and BPSF [E]	On CP	On Shopee	After SHP & TB rebate [C]	After rebate and Voucher [D]	After rebate, voucher and BPSF [E]
TW	**Total**	5,789	1,309	2.28%	-78%	-68%	-69%	5,789	1,307	-78%	-68%	-70%
	... Beauty	2,044	1,015	3.73%	-75%	-61%	-63%	2,044	1,013	-75%	-62%	-64%
	... F&B	1,207	88	197.31%	-91%	-91%	-91%	1,207	88	-91%	-91%	-91%
	... Fashion	1,147	59	0.62%	-76%	-80%	-80%	1,147	59	-76%	-80%	-80%
	... TKB	1,391	147	30.66%	-95%	-95%	-95%	1,391	147	-95%	-95%	-95%

Highlights:

1. Overall NPC improved slightly from -70% to -69% overall

[Backup] Package details | Counter Coupang sellers are eligible for new seller programme, which is more attractive than Counter Taobao programme, or migration incentive if they assist in SKU sourcing

		Eligible for Counter Coupang sellers		
		KR New Seller Programme	**KR Migration Incentive**	**Counter Taobao Programme**
Programme Details	No. of packages	30 sellers (MTD 16 sellers in programme)	100 packages (MTD 32 sellers in programme)	No limit
	Programme requirements	New brand seller than joined Shopee TW or migrated from other markets	Brands: Migrate at least 30% of SKU gap vs other markets Resellers: Migrate at least 100 SKUs OR give Shopee authorisation to migrate via migration tool (KR resellers only)	New to Shopee: Migrate ≥ 50% of their TB SKUs within 6 months New to TW & Existing sellers: Achieve migration of ≥ 50% of their Shopee SKUs from other mkts within 6 months OR Authorise Shopee for batch migration
	Package length	6 months	3 months	6 months
Fee Discounts & PRMs	Base Commission Waiver	Additional M4-6 full commission waiver	N/A	First 3-month base commission waiver
	Paid Ads Credits	P0 (10 sellers): $1.5K at start of programme, and further $1.5K rebate once accumulated investment hits 3 investment thresholds (Total rebate = $6K) P1 (20 sellers): $0.8K at start of programme, and further $0.8K rebate once accumulated investment hits 3 investment thresholds (Total rebate = $3K)	Paid Ads reward based on new SKUs uploaded (Cap $100 per seller per mth)	100% rebate (capped at $100 free credit / month) Supercharged seller: Capped at $300 per seller per month
	AMS credits	$30 per seller per month	N/A	N/A
	Sponsored Vouchers	$110 per seller per month	N/A	$110 per seller per month
Exposure & Others	CFS slots	5 slots per seller per month	3 slots per seller per month	1-for-1 rebate if any CFS or packages are purchased
	Featured campaigns	CB circle + category-specific campaigns (subject to availability)	N/A	CB circle + category-specific campaigns (subject to availability)
	Others	1 Mall Campaign (BOD) for all sellers (Done on 5th Sep)	N/A	PO policy and fee exemption

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Topic 3b: [For Update] Counter Taobao Program

Counter Taobao Private Programme | 250 sellers contributing to 936 ADO and 87.8K SKUs, ADO +6% driven by 57 new sellers

Metrics	Category	Jul'25	Aug'25	Sep'25	Oct'25			
		Actuals	*Actuals*	*Actuals*	*MTD*	*Target*	*RR*	*MoM*
Seller #	Total	116	156	193	250	-	-	▲ 30%
	... Fashion	107	127	157	200	-	-	▲ 27%
	... Beauty	2	21	28	42	-	-	▲ 50%
	... Electronics	7	8	8	8	-	-	-
ADO	Total	461	720	875	932	1,611	58%	▲ 6%
	... Fashion	389	388	532	549	1,150	48%	▲ 3%
	... Beauty	0	257	265	301	461	65%	▲ 14%
	... Electronics	73	75	79	83	-	-	▲ 5%
ADG (K)	Total	13.0	18.6	20.8	22.8	42.1	54%	▲ 10%
	... Fashion	10.4	10.8	12.8	14.5	32.2	45%	▲ 13%
	... Beauty	0.0	5.2	5.6	5.9	9.9	60%	▲ 7%
	... Electronics	2.5	2.5	2.4	2.4	-	-	▼ -1%
SKU# (K)	Total	50.8	58.9	71.2	87.8	850.0	10%	▲ 23%
	... Fashion	48.7	55.8	66.5	81.1	696.0	12%	▲ 22%
	... Beauty	0.0	0.8	2.2	4.2	154.0	3%	▲ 92%
	... Electronics	2.0	2.3	2.5	2.5	-	-	▼ -0%
SKU Effi	Total	0.91%	1.22%	1.23%	1.06%	0.19%	560%	▼ -14%
	... Fashion	0.80%	0.70%	0.80%	0.68%	0.17%	409%	▼ -15%
	... Beauty	0.00%	33.11%	12.09%	7.14%	0.30%	2385%	▼ -41%
	... Electronics	3.55%	3.20%	3.16%	3.34%	-	-	▲ 6%

Key Highlights

1. **Overall Program ADO at 936 (RR 58%). MoM +6%** due to new sellers and spike day campaign

2. **Overall SKU# at 87.8K (RR 10%). MoM +23%**
   - Underperformance due to Lever 3 ERP, actual SKU # of 0.2M vs 1.5M target, pending recalibration of target

Next Steps

1. 2 top ERP sellers with 70 ADO in Sep were turned on HM due to high NFR from system issue. Fixed and sellers to be re-pushed.

2. 44 sellers with SKU gap >100; continue to push sellers to give migration authorisation or to migrate themselves

Topic 3c: XDD

Nicholas

[For Update] XDD | XDD enabled order coverage at 40%, SLA at 99%, to launch KR channel to improve enabled order coverage

Table 1: Order coverage and SLA performance

	WTD (till Oct-16)	W-1	W-2	W-3	EoM Target
Enabled SKU order coverage	40%	38%	42%	42%	40%
Actual XDD order coverage 1	19.3%	16.9%	1.1%	0.0%	14.7%
SLA% group by delivered date	100%	99.5%	46.0%	97.0%	95%
SLA% group by EDT max	99%	100%	92%	97%	95%

Table 2: Impact of tightening KYC setting

KYC Setting	Allowed KYC status		CN			KR		
			Impact			Impact		
			ADO loss%	SLA uplift%	Proposal	ADO loss%	SLA uplift%	Proposal
Current	Green	KYC pass	-	-	Keep current setting	-	-	-
	Yellow	buyer phone number unverified						
More Strict	Green	KYC pass	-2.80%	+0.2%	- 2	-0.01%	+0.03%	Update to stricter setting

Key highlights

1 **Performance:**
Actual order coverage at **~19.3%,** recovered from XDD toggle off due to typhoon and CN holiday impact; enabled order coverage at **40**%, SLA at **99**%

Next Steps

2 To update KR KYC logic stricter to avoid yellow KYC status orders stuck at custom
- **Impact:** improve XDD SLA by **0.03%**, with a potential ADO loss of 0.01% of TWCB.
- CN also faces a similar issue, but will keep the current setting due to higher ADO loss impacted.

- **KR XDD channel launch:**
  - FRF raised for XDD channel development, ETA for launch: late Nov
- **SLA improvement through delisting poor SLA SKUs**
  - To delist poor SLA% items once every 2 weeks to reduce overall SLA impact; will run ADO impact simulation before each delisting
  - Next steps:
    - BI to run simulation and share ADO & SLA impact

Topic 4: Other initiatives

Nicholas

Other initiatives

#	Domain	Pri.	Topic	Highlights / Updates	Status	PIC
1	CNCB	P1	CTBC Integration	• CTBC integration targeted to be Dec'25 • All CB LMs must integrate with CTBC to continue supporting COD • To work with SG FN for cash flow contract signing with LM vendors, ETA: TBC	WIP	Nicholas Henry
2	CNCB / KRCB	P1	SPX new channel launch	• CNCB: launch SPX sea CVS, ETA Nov and SPX sea HD, ETA Q1'26 • KRCB: launch SPX air HD, ETA Q1'26	WIP	Nicholas
3	CNCB / KRCB	P1	FSS mandatory	• To launch HD FSS next Jan	WIP	Allison
4	Direct Selling (Export)	P1	TW-SG and TW-MY direct selling	• Pending TW SPX timeline confirmation to support as First Mile • Without TW SPX support, pending further integration discussion with Hi-Life as FM short-term solution	WIP	Jiayi
5	KRCB FBS	P2	Incentive package	• Pending KR to provide ADO/ADG impact, and to discuss package details with Local SMT	WIP	Kaishen Nancy